

Hare 08 2022
Originator: Spandana Sphoorty Financial Limited
 February 19, 2024

Transaction	Instrument	Rating ¹	Rating Action
Hare 08 2022	Series A1 PTC	-	Withdrawn

Details of instruments/facilities in Annexure-1

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has withdrawn the rating assigned to the above-mentioned instruments issued by Hare 08 2022 backed by microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL). The rating is withdrawn as all the payouts have been made to the investors in full and there is no amount outstanding as on date.

Detailed description of the key rating drivers: Not applicable

Analytical approach: Not applicable

Applicable criteria

[Policy on Withdrawal of ratings](#)

About the company and industry

Industry classification

Macro-economicIndicator	Sector	Industry	Basic Industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through joint-liability group (JLG) model, primarily to borrowers belonging to low-income household in 1997. In 2003, the company was registered with the Reserve Bank of India (RBI), as non-deposit taking non-banking finance company ("NBFC-ND") and is currently registered under the new category of NBFC-MFI. The company went into corporate debt restructuring (CDR), post the Andhra Pradesh (AP) crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%) and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, as well as the CFO, Ashish, have prior experience in Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with a total of 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, but the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the JLG model for risk mitigation. The business of SSFL is targeted towards under-privileged women. Each centre typically manages one to three groups, with each group consisting of 8 to 12 members.

Key financial indicators

Brief financials	FY22 (A)	FY23 (A)	H1FY24 (UA)
Total Income (₹ crore)	1,392	1,394	1,116
PAT (₹ crore)	47	12	227
Loan Book (₹ crore)	5,264	7,480	8,479
Net NPA (%)	6.78%	0.58%	0.38%
ROTA (%)	0.68%	0.16%	2.26%

A: Audited; UA: Unaudited; Note: 'the above results are latest financial results available'.

Status of non-cooperation with previous CRA: Not applicable

¹Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

Any other information: No

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate	Maturity Date	Size of the Issue (₹ crore)	Rating assigned along with Rating Outlook
Pass-through certificates	-	22-09-2022	10.00%	17-03-2024	0.00	Withdrawn

Annexure-2: Rating history of last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022	Date(s) and Rating(s) assigned in 2020-2021
1	Pass-through certificates	LT*	0.00	-	1)CARE AA- (SO) (17-Aug-23)	1)CARE AA- (SO) (22-Dec-22) 2)Provisional AA- (SO) (30-Sep-22)	-	-

LT*- Long term

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities: Not applicable

Annexure-4: Complexity level of various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. This classification is available at www.careredge.in. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

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About us:

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